Appendix B of *Elliott Wave Principle* details the forecast made for the ensuing one-year pullback, which was met with precision on May 30, 1984. That low presented the last great opportunity to buy for the great bond price recovery. For a closer look at the 1980, 1981 and 1984 lows, see Figure 16-5.

As shown in Figure 16-3, U.S. 30-year Treasury bonds had declined in a five wave pattern from their peak value in 1946 to their low in 1980. It is the essence of the Wave Principle that the direction of a five-wave impulse is the direction of the one-degree-larger trend. In this case, the impulsive trend of prices was down and is labeled accordingly as wave (I). Although the labeling of the starting waves of the advance (A and B) were changed as shown in Figure 16-5, *The Elliott Wave Theorist* continually reiterated that the advance would ultimately prove to be a partial retracement, i.e., a *bear market rally*, not a new bull market. The distinction is crucial to understanding why the advance took the shape of a countertrend pattern, not a five-wave impulse, and more important, why the market now faces another multi-year declining impulse, as will be discussed under the section entitled **Outlook**.

The Path to the Peak of Wave (II)

Recognizing the buying opportunities of 1980 through 1984 was relatively easy compared to forecasting the path of the ensuing advance. From 1985 forward, *The Elliott Wave Theorist* experienced substantial difficulty in assessing the path of bond prices as they chopped their way through a complex upward corrective pattern. First, the direction of the triangle labeled wave X in Figure 16-5 was incorrectly assessed. Then wave Y ended at **1.618** times the length of wave W (see Figure 16-5), a relationship that made the 1986 high appear to mark the end of the advance. The ultimate structure, a "triple zigzag," finally became clear in late 1991, about two years before the final high. By the end of 1992, the time element came into focus. *The Elliott Wave Theorist* concluded that "prices will probably hold up until **1993** to reach a total of **13** years from the 1980 low," thus completing an impressive web of Fibonacci time intervals that had marked all key elements of the pattern. After several attempts to identify the peak, on October 1, 1993, Elliott Wave International's bond market specialist David Lockwood penned this unequivocal outlook for *The Elliott Wave Theorist*: